

DOCUMENT 5 OF 7 - INTER-COMPANY AGREEMENTS OUTLINE

Inter-Company Agreements: Term Outlines

The three related-party agreements that make SBG Phase A work

Prepared: 2026-06-17 **Prepared by:** AI legal/compliance counsel for Central Wisconsin Deck Builders, LLC (Jim Slogar) **Parties:** the three SBG entities (SBG-Labor, SBG-Equipment, SBG-RealEstate) and the three operating LLCs (Central Wisconsin Deck Builders, LLC; Barton Builders LLC; John Garcia Construction LLC) **Status:** DRAFT plain-language term outlines for partner alignment. Not legal advice.

READ THIS FIRST. This file is the operational companion to the SBG term sheet (legal-term-sheet.md, Section 3). The term sheet decides the deal. THESE agreements are what actually move labor, equipment, and risk between the SBG entities and the three operating LLCs every week. There are three of them. They are short to describe and easy to get wrong. Get them right and the whole structure holds together for tax, insurance, and liability. Get them wrong (undocumented, below-market, or hand-wavy) and you hand the IRS, the Wisconsin DOR, and any plaintiff's lawyer the exact argument they need.

WHY RELATED-PARTY AGREEMENTS MUST BE WRITTEN AND MARKET-PRICED. SBG and the three operating LLCs are **commonly owned** (the same three people own all of it). Whenever money moves between commonly owned companies, two things go wrong if the deal is not on paper at a real market price:

1. **Tax.** The IRS and the Wisconsin DOR can REALLOCATE income between commonly controlled entities that do not deal at arm's length (the general anti-abuse and related-party principles, and for the SBG-Labor S-corp the reasonable-compensation rules). A below-market or undocumented labor charge lets them move profit around and assess tax, interest, and penalties. The defense is a written agreement at a market rate with a documented basis. 2. **Veil-piercing / liability.** If the entities are run as one undifferentiated blob (no real invoices, no real prices, money sloshing between them), a plaintiff who sues one operating LLC can argue all of them, and the SBG entities, are a single alter-ego enterprise and should ALL pay. Written, market-priced, actually-invoiced agreements are the proof that these are separate businesses dealing at arm's length. That separation is the liability shield the whole structure depends on.

Bottom line: every dollar that moves between an SBG entity and an operating LLC rides on one of these three written agreements, at a market price, with a real invoice and a real payment. No exceptions, no informal "we'll square up later."

Agreement 1: Labor / Staffing Agreement (SBG-Labor to each operating LLC)

A separate signed agreement between **SBG-Labor** and **each** operating LLC (three agreements, one per LLC, ideally on a common form).

1.1 Parties

- **Provider:** SBG-Labor, LLC (employs the W-2 crews and the three partners).
- **Client:** the operating LLC receiving the leased labor (CWDB, Barton Builders, or John Garcia Construction), one agreement each.

1.2 What is supplied

- SBG-Labor furnishes **W-2 crew labor and partner labor** to the Client LLC for the Client's residential construction jobs, on request and scheduling.
- SBG-Labor remains the **employer of record**: it hires, fires, pays, withholds taxes for, and carries workers' comp on these workers. The Client LLC does NOT employ them.
- The labor is supplied **as a service** (staffing), not as a contribution or a partnership. The Client LLC is and remains the prime contractor to its homeowner, using its own Dwelling Contractor Certification, Qualifier, GL, and permit.

1.3 Pricing: market rate and the markup logic (the load-bearing term)

SBG-Labor bills the Client LLC at a **market rate per labor hour (or per crew-day)**. The rate is built up from real cost plus a margin, documented so it is defensible as arm's-length:

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Billed labor rate = base wage
                  + employer payroll taxes (FICA, FUTA, WI UI)
                  + workers' compensation premium load
                  + benefits (if any)
                  + allocated overhead (payroll admin, HR, supervision)
                  + a market margin
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- The build-up must be **written down and kept** (the rate schedule and its basis), because that document is what proves to the IRS/DOR that the inter-company price is real and at market, and it is what feeds each LLC's clean cost of goods.
- Compare the resulting rate to **what a third-party staffing or labor-leasing firm would charge** for equivalent construction labor in the Wausau market, and confirm SBG-Labor's number is in that range. That comparison is the arm's-length proof.
- The rate is set and changed only under the SBG major-decision rules (term sheet Section 5.2), and must stay at market even by vote (a vote cannot make it below-market without re-creating the tax and veil risk).
- **No favoritism between the three LLCs**: the same labor is billed to all three Client LLCs on the same rate basis. A sweetheart rate to one partner's LLC is both a fairness problem among the partners and a related-party red flag.

1.4 Supervision and direction of the work (critical for licensing and liability)

- **The Client LLC's Dwelling Contractor Qualifier directs and controls the work** on the Client's job. The Client LLC, as the licensed prime, is responsible for the means, methods, code compliance, and quality on its own jobsite.
- SBG-Labor supplies the bodies and pays them; it does not act as the contractor or direct the construction outcome on the Client's job. (Field-ops STANDARDS and crew training live in Ben's SBG lane, but job-level direction on a given LLC's site is the Client LLC's Qualifier.)
- This division matters two ways: (a) it keeps the Client LLC as the genuine licensed prime (so the leased labor does not make SBG the unlicensed contractor), and (b) it sets up the **special-employer / borrowed-servant** posture that Agreement 3 relies on for the workers'-comp injury bar.

1.5 Term and scheduling

- Open term with a defined notice period to terminate (for example, 30 to 60 days), so a partner exit or a dispute does not strand either side instantly. (On a partner buyout, the leases wind down on the schedule in term sheet Section 7.2.)
- A scheduling mechanism (how each LLC requests crews, how SBG allocates scarce crews fairly across the three LLCs, who breaks ties; this ties to John's scheduling lane, term sheet Section 5.1).

1.6 Indemnity

- The **Client LLC indemnifies SBG-Labor** for claims arising from the Client's job, its site conditions, its direction of the work, and its homeowner contract (because the Client is the prime running the job).
- **SBG-Labor indemnifies the Client LLC** for claims arising from SBG-Labor's employment of the workers (payroll, wage-and-hour, employment law) and from SBG-Labor's failure to carry the workers' comp it promises.
- Carve the indemnities at the line between "the job" (Client's) and "the employment relationship" (SBG-Labor's).

1.7 Insurance

- SBG-Labor carries and maintains **workers' compensation** on all supplied workers (Wis. Stat. ch. 102) and provides certificates to the Client LLC.
- The Client LLC carries and maintains its **own GL** on its jobs and provides certificates to SBG-Labor.
- Consider naming each as additional insured where appropriate (the broker advises the right structure).

1.8 Arm's-length documentation (do not skip)

- **Real monthly invoices** from SBG-Labor to each Client LLC, itemized by hours/crew-days and rate.
- **Real payment** by the Client LLC to SBG-Labor on normal commercial terms (for example, net 15 or net 30), actually paid, not accrued forever.
- The **rate schedule and its build-up** kept on file and updated when rates change.
- Keep these in the SBG inter-company documentation file (term sheet Section 11).

Agreement 2: Equipment Lease (SBG-Equipment to each operating LLC)

A separate signed agreement between **SBG-Equipment** and **each** operating LLC (three, one per LLC, on a common form).

2.1 Parties

- **Lessor:** SBG-Equipment, LLC (owns the shared equipment, tools, and vehicles).
- **Lessee:** the operating LLC renting the equipment (CWDB, Barton Builders, or John Garcia Construction), one agreement each.

2.2 Equipment

- A **schedule of equipment** (Exhibit to each lease): each item SBG-Equipment owns and rents out, with identifying detail. Updated as SBG-Equipment buys or sells items.
- Rentals can be by item, by day, by week, or on a standing-availability basis; pick the model that matches how the crews actually use the gear, and price accordingly.

2.3 Pricing: market lease rate

- SBG-Equipment bills a **market lease rate** for each item, comparable to **what a third-party equipment rental yard in the Wausau market would charge** for the same item. That comparison is the arm's-length proof.
- As with labor, the same item is rented to all three Lessee LLCs on the same rate basis (no sweetheart rates).
- The rate built to cover SBG-Equipment's cost (depreciation, financing if any, maintenance, insurance, storage) plus a market margin, documented.
- Set and changed under the SBG major-decision rules (term sheet Section 5.2), and kept at market.

2.4 Wisconsin sales tax on the rental (assign this explicitly)

- **Renting tangible equipment in Wisconsin is a taxable transaction.** Wis. Stat. ch. 77 and Wis. Admin. Code ch. Tax 11 tax the lease/rental of tangible personal property.
- **SBG-Equipment registers with the WI DOR and is responsible for collecting and remitting the sales tax on each rental** (the standard structure: the lessor collects from the lessee and remits). The lease must state plainly that the rental rate is **plus applicable Wisconsin sales tax**, that SBG-Equipment collects it on each invoice, and that SBG-Equipment remits it to the DOR.
- Confirm with the CPA whether any exemption or resale treatment applies to any item; default assumption is the rentals are taxable and SBG-Equipment remits. Do not leave the sales tax unassigned, that is a latent liability that compounds.
- (Note: this is the SBG-Equipment-specific sales-tax point. It is distinct from the owner's standing decision that CWDB's lead-fee and construction-services REVENUE is not subject to WI sales tax; the equipment-rental sales tax is a separate transaction type and must be handled on its own.)

2.5 Maintenance

- Define who maintains the equipment and bears repair cost: typically **SBG-Equipment maintains** (since it owns and re-rents the item and the maintenance cost is built into the rate), with the Lessee LLC responsible for damage beyond normal wear and for loss while in its possession.
- Routine vs. major maintenance split spelled out.

2.6 Insurance and risk of loss

- **SBG-Equipment** insures the equipment it owns (property coverage; commercial auto on any vehicles it owns).
- The **Lessee LLC** is responsible for the equipment while in its possession (damage/loss beyond normal wear), and may need to carry coverage or be named where the broker advises.
- Risk-of-loss allocation while the item is on the Lessee's jobsite is stated.

2.7 Term and documentation

- Open term with a defined notice period, consistent with the labor agreement and the buyout wind-down (term sheet Section 7.2).
- **Real monthly invoices** (itemized by equipment and rate, sales tax shown as a separate line), **real payment** on commercial terms, the equipment schedule kept current. Same arm's-length documentation discipline as Agreement 1.

Agreement 3: Workers' Comp / Borrowed-Servant Coordination

A coordination agreement (and the insurance structure behind it) so that a **leased worker injured on an operating LLC's job cannot sue that LLC**. This is the agreement that protects the operating LLCs from the biggest day-to-day risk of using shared crews.

3.1 The problem it solves

- SBG-Labor employs the crews and carries the workers' comp. Workers' comp is the injured worker's **exclusive remedy against their employer** (Wis. Stat. ch. 102): a covered worker who is hurt collects comp benefits and **cannot also sue the employer** in tort. That bar is the whole point of the comp bargain.

- The danger in a leased-labor structure: a worker injured on, say, Barton Builders' jobsite is employed by SBG-Labor, not by Barton Builders. The comp bar clearly protects SBG-Labor (the general employer). **But without the right structure, the injured worker could turn around and sue BARTON BUILDERS in tort** as a "third party," because Barton Builders is not the worker's payroll employer. That would blow a hole straight through the operating LLC the structure is supposed to protect.

3.2 The fix: the special-employer / borrowed-servant doctrine

- Wisconsin (like most states) recognizes that a worker can have **two employers at once**: a **general employer** (here SBG-Labor, who pays and carries comp) and a **special employer** (here the operating LLC whose job the worker is performing and whose Qualifier directs the work).
- When the special-employer relationship is properly established, the **comp exclusive-remedy bar extends to the special employer too**. So the injured leased worker's claim against the operating LLC is **barred** the same way it is barred against SBG-Labor. The worker is made whole by comp; neither commonly-owned entity gets sued in tort.
- To establish the special-employer relationship and earn that bar, the facts generally must show: (a) the worker has an **express or implied employment contract with the special employer** (the leased-labor arrangement supplies this), (b) the work being done is **essentially the special employer's** (the LLC's own job), and (c) the **special employer has the right to control the details of the work** (which is exactly why Agreement 1, Section 1.4 puts the Client LLC's Qualifier in charge of directing the work). **Confirm the current Wisconsin elements with the attorney**, because this doctrine is fact-specific and the agreement must be drafted to fit it.

3.3 What this agreement does

- **Documents the special-employer relationship** between SBG-Labor and each operating LLC, so the borrowed-servant elements are evidenced in writing rather than argued after an injury.
- **Confirms SBG-Labor carries the workers' comp** that covers the leased workers on every operating LLC's job, with certificates delivered to each LLC.
- **Confirms each operating LLC's right to direct and control the leased workers' work** on its own jobs (cross-referencing Agreement 1, Section 1.4), which is the control element the borrowed-servant doctrine needs.
- **Coordinates the WC-or-exemption requirement on each LLC's Dwelling Contractor Certification** (the tricky interaction flagged in the due-diligence checklist, Part B, B3.5): how each operating LLC satisfies the certification's WC-or-exemption condition while using leased crews covered under SBG-Labor's policy. Confirm the arrangement with the insurer and WI DSPS in writing.
- **Allocates the comp premium** appropriately (the comp cost sits in SBG-Labor and is built into the labor rate in Agreement 1, so each LLC effectively pays its share through the labor billing).

3.4 Why all three agreements interlock

- Agreement 1 (labor) puts the Client LLC's Qualifier in CONTROL of the work, which is the fact the borrowed-servant bar (Agreement 3) needs.
- Agreement 1 builds the comp PREMIUM into the labor rate, which is how the comp coverage behind Agreement 3 gets paid.
- Agreement 3 turns that control + coverage into the LEGAL BAR that protects each operating LLC from a leased-worker tort suit.
- Agreement 2 (equipment) runs in parallel and keeps the gear flowing on the same arm's-length, documented, market-priced discipline.

- All three together are what make the SBG entities and the operating LLCs genuinely separate, defensible businesses rather than one alter-ego blob.
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Cross-references and to-do

- **Term sheet:** legal-term-sheet.md, Section 3 (these agreements as the heart of Phase A), Section 14 (conditions precedent), Section 7.2 (lease wind-down on a buyout).
 - **Due-diligence checklist:** due-diligence-checklist.md, Part A item A10 (readiness inputs for all three agreements) and Part B, B3.5 (the leased-labor / WC-exemption interaction).
 - **To-do before going live:** the attorney drafts all three on a common form; the CPA confirms the market-rate build-ups and the SBG-Equipment sales-tax registration; the insurance broker confirms the comp structure and the borrowed-servant posture; WI DSPS confirms the WC-or-exemption handling on each operating LLC's certification and that SBG itself needs no contractor credential as a lessor.
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This document was prepared by AI legal counsel for informational and partner-alignment purposes only. These are plain-language term outlines, not contracts and not legal advice. Related-party agreements between commonly owned entities carry specific tax (IRS and Wisconsin DOR reallocation, S-corp reasonable-compensation) and liability (veil-piercing, borrowed-servant) consequences that depend on precise drafting and on current Wisconsin law. A licensed Wisconsin attorney must draft the binding labor/staffing agreement, equipment lease, and workers'-comp coordination agreement, and a Wisconsin-licensed insurance agent and the CPA must confirm the comp structure, the market pricing, and the sales-tax treatment, before the SBG entities operate. Review by a licensed Wisconsin attorney is required before execution.